

Business operating-depth financial successor

Document ID: SH-FIN-OPERATIONS-001

Version: 1.0.0

As of: September 9, 2026

State: SYNTHETIC CONDITIONAL IMPLEMENTATION

Owner: CFO office / business model owners

Purpose and source boundary

The operating successor extends the accepted business-finance model with causal customer, collection, workforce, matter and research histories. It retains the 2026 reconstruction and accepted industrial financial sources. Its separately versioned scenarios do not rewrite a prior release or establish observed results.

The seven reporting lines remain Foundry Field, Atlas Meridian, Advisory, Willow, Project Cradle, Pale Sun / Red Wash and American Resource Utility / BS&T. Corporate, J2, support services and eliminations retain their existing treatment. No new legal entity, authorization, tax election or capital commitment is implied.

Operating economics

Commercial pipelines gate deployment. Dated contract versions, amendments, cancellations, support/incident capacity and renewals affect billings and recognized service. ARR bridges isolate new, expansion, price, contraction and churn effects; deferred-revenue bridges connect obligations, invoices, credits and recognition.

Credit histories distinguish disputes, partial receipts, allowance estimates, write-offs and recoveries. A credit reduces open receivables first, then any surviving written-off claim; only a genuine collected overpayment becomes a refund. Host settlement follows collected recovery proceeds and reconciles to liability records.

Advisory determinations gate actual work, billing and recognition in six selected matter histories. Outcome pricing, independent value review, Atlas licensing and the shared professional bench retain their existing boundaries. Client handovers execute their own tests and include only approved workflow and rights material.

Willow follow-on experiments record awards, attempts, correction, qualification, materials budgets, commitments and cost to complete. Cradle records assays, rejected lots, split/merge mass and cost genealogy, custody and downstream acceptance. Industrial dated service and maintenance rows allocate existing monthly quantities, invoices and cost envelopes; they do not post a second copy of financial activity.

Workforce, service cost and forecasts

Effective-dated employment and assignment changes distinguish authorization, occupancy, paid FTE and productive capacity. Leave, return and ramp effects cannot double-count people or payroll. Consumption-driven management service allocations reconcile corporate costs while accounting for already-booked statutory fees, retained J2 mission cost and other retained corporate costs.

Three versioned forecasts distinguish budget, revision and synthetic outturn. Rebuilt price, volume, timing and workforce stages explain exact changes while preserving frozen earlier periods. These alternative Core views are nonposting; their cash measure is requested cash before consolidated Treasury/tax treatment.

Cash, controls and acceptance

Treasury identifies individual payment requests and attributes finite funding and arrears to their source lines by declared priority. Monthly obligation bridges tie to enterprise deferral and repayment entries. This is a modeled

allocation, not evidence of creditor consent, actual bank transfers or employee-specific nonpayment. Unit cash amounts are reporting attributions, not separate bank balances.

Scheduled local-control exercises retain expected populations, evidence hashes, preparer/reviewer separation, failed or missing tests, waiver expiry and independent reperformance. Software acceptance and control results remain separate. An infeasible industrial schedule or a failed control remains visible in a valid build.

Acceptance requires balanced journals, unchanged 2026 amounts, legal/unit reconciliation, complete source fingerprints, explicit prior-version removal/addition, strict export schema/scope, executed handovers and workbook agreement with regenerated data. The complete final distribution is scanned and checksummed before publication.

Implementation: [enterprise/operations](#). Distribution: [export specification](#).